

THE 80/20 RULE

Vilfredo Pareto was an Italian economist who developed a very exciting and important theory

First the history: whilst working in the UK in 1897 Pareto identified that 80% of the wealth in England was in the hands of 20% of the people.

In the fifties, Quality gurus like Juran and Deming referred to the “Pareto Principle” as part of their work with American and Japanese companies.

Although Pareto himself never referred to his “principle”, the post-war economic miracle in both of these countries helped secure Pareto’s place in history.

The Pareto Principle has since become one of our “laws of life” and there are many places where we can see evidence of it in our lives today:



THE PARETO PRINCIPLE

AT WORK:

- **80%** of absenteeism comes from **20%** of the people
- **80%** of perceived customer value comes from **20%** of what you offer them
- **80%** of what you achieve at work comes from **20%** of the time spent at work

IN SOCIETY:

- **80%** of famine, disease and poverty can be found in **20%** of countries
- **80%** of accidents are caused by **20%** of drivers
- **80%** of traffic jams occur on **20%** of our roads

IN LIFE:

- **80%** of your time is spent walking on **20%** of your carpets
- **80%** of surplus weight is caused by **20%** of the things we eat
- **80%** of our time on the phone is spent talking to **20%** of the people in our address books

In business, the Pareto Principle can often feel counter-intuitive as we like to think that “all customers are important” or “all employees have the same value” or “all new enquiries should be treated in the same way.” This is not necessarily the case.

We are living in challenging times and many of us are going to need help to survive and thrive. So what advice would Mr. Pareto give you if he was your business coach today? With his 80-20 thinking hat on, he would probably tell you to:



01. STAY FOCUSED

20% of items on your "To Do" list will make 80% of the difference in 2020 and beyond. Identifying and staying focused on this low

number of high-impact items is clearly going to have more value to your business than focusing on a high number of low-impact items. Strive for excellence in a few things rather than getting lost amongst the many things.

What 20% are you going to focus on as a priority for your business?



02. TRACK CUSTOMER PROFITABILITY

If 20% of your customers (Group A) produce 80% of the profits and 80% of your customers (Group B) produce 20% of your profits then Group A are going to be 15-16 times more profitable than Group B. Don't mark-time with customers. Either manage them "up" or manage them "out."

Do you have processes in place to track and measure customer profitability?



03. WATER THE SEEDS, NOT THE WEEDS!

It is very easy in business to spend too much time, effort and money on poor performers. Although we sometimes feel we have a

"duty" to these people remember that we also have a duty to our good performers who could become even better. Keep this analogy in your head "you should be spending more time watering your seeds, not your weeds!"

Who are the seeds and weeds in your organisation?



04. DON'T BE A PERFECTIONIST

80% of your work will neither be appreciated nor valued. When you have met and exceeded the needs of your customer or your colleague, start doing something else.

As General Patton once said "A good plan actioned today is better than a perfect plan actioned next week!"

What steps can you put in place to move yourself forward in this area?



05. FIND OUT WHAT CUSTOMERS REALLY VALUE

20% of your customer offering will account for 80% of the value they receive.

Do you have a process in place to proactively audit customer feedback to ensure that you, and your customer, are both on the same page of the "hymn sheet?"

Do you carry out face to face audits with your top ten customers?

Do you have the "intelligence" you need?

It is impossible to make improvements within our businesses unless we know where we are starting from.



06. WIN OVER THE KEY 20% OF PEOPLE

If you are embarking on a culture-change programme in 2020, try and win over the 20% of people who have a dramatic influence on the remaining 80% of their peers. Some of the 20% may be militant or difficult "wild ducks who refuse to fly in formation" but if you can win them over you will achieve your cultural goals in lightning time. Sven Goran Erikson used this strategy during his time as England manager and often referred to his two key players (Michael Owen and David Beckham) as his "cultural architects."

Who are the 20% you need to win over today?



07. WIN THE WINNABLE

What is the value of the proposals, quotations and presentations building up in your business pipeline? Mr. Pareto would tell you that 20% of these proposals are going to be 80% winnable. So don't spread your resources across all prospects - identify the ones that are winnable and pile in your resources to bring them on board. To quote Napoleon "March dispersed but fight concentrated!"

Which proposals can you identify right now as winnable?



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